

Chapter 10 formulas

1. Simple Interest

- $F = P(1 + rt)$

- $P = \frac{F}{1 + rt}$

- $r = \frac{\frac{F}{P} - 1}{t}$

- $t = \frac{\frac{F}{P} - 1}{r}$

2. Compound Interest

- $F = P(1 + p)^T$

- $P = \frac{F}{(1 + p)^T}$

- $p = \left(\frac{F}{P}\right)^{1/T} - 1$

- $T = \frac{\log(\frac{F}{P})}{\log(1 + p)}$ (Note: this is not the same as $T = \frac{\frac{F}{P}}{(1 + p)}$)

3. Amortization Formula

- $M = P \frac{p(1 + p)^T}{(1 + p)^T - 1}$

- $P = M \frac{(1 + p)^T - 1}{p(1 + p)^T}$

- $T = \frac{-\log\left(1 - \frac{pP}{M}\right)}{\log(1 + p)}$

4. Annuity Formula

- $F = M \frac{(1 + p)^T - 1}{p}$

- $M = F \frac{p}{(1 + p)^T - 1}$

- $T = \frac{\log\left(1 + \frac{pF}{M}\right)}{\log(1 + p)}$